

S&P Global Canada Services PMI®

Service sector continues to falter

July 2026

Further declines in output and sales as market demand remains subdued

Price pressures intensify

Confidence drops to 13-month low

The performance of Canada's service sector remained subdued in July.

Activity fell further, undermined by a drop in new business amid reports that the uncertain macroeconomic environment was weighing on market demand. Sentiment about the future subsequently fell to a 13-month low as firms signalled worries about the continuation of a challenging business climate in the year ahead.

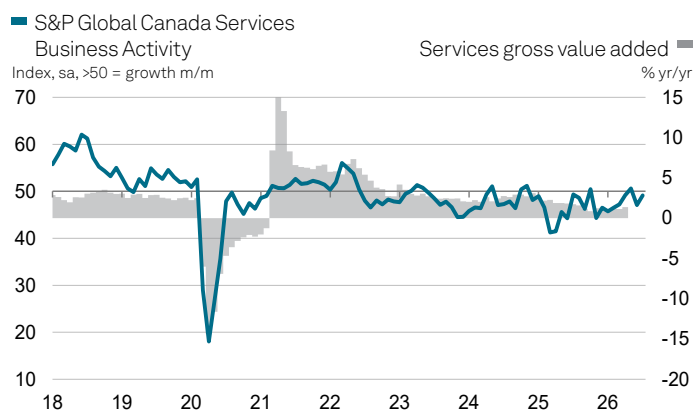
Nonetheless, firms took on staff to a greater extent with modest growth the best recorded since May 2023. Cost pressures also intensified, with input prices rising at a pace that was amongst the steepest seen over the past three-and-a-half years. Output charges similarly increased to a greater degree.

The headline S&P Global Canada Services PMI® Business Activity Index recorded 49.1 in July. That was an improvement on June's 47.1 but, by remaining below the critical 50.0 no-change mark, signalled a second successive, albeit marginal, contraction in service sector output.

Firms generally linked the latest fall in activity to a third successive monthly decline in new business volumes. Panellists reported that market demand was subdued, generally reflective of an uncertain economic environment. Firms noted that tariffs and the volatile geopolitical climate were key factors in driving market uncertainty. This was especially the case amongst foreign clients, with latest data showing an accelerated contraction in new export business (the steepest of the year so far).

Despite the subdued trends in activity and new work, firms chose to recruit additional staff on average in July. Although modest, jobs growth was the best recorded since May 2023. Companies noted that staff were hired generally as replacements or to ensure capacity was sufficiently high to keep on top of workloads. Such an approach was broadly successful with latest data showing a further modest contraction in outstanding business over the month.

On the price front, input price inflation accelerated in July to



Data were collected 9-28 July 2026.

Sources: S&P Global PMI, StatCan via S&P Global Market Intelligence. © 2026 S&P Global

Comment

Paul Smith, Economics Director at S&P Global Market Intelligence:

"Latest PMI data point to another month of underwhelming service sector performance during July. This was in line with a challenging business climate as tariffs and geopolitics continue to dominate both near-term activity and the outlook for the coming year. Both output and new orders fell again, albeit to lesser degrees, whilst confidence regarding the future sank to the lowest of 2026 so far.

"Adding to the challenging environment was the continuation of steeply rising input costs, again linked to tariffs and the crisis in the Middle East pushing up energy and fuel expenses. Allied with increased staffing expenses, overall input price inflation was amongst the steepest recorded since the fall of 2022. Selling prices were raised as a result, despite the subdued demand environment, which adds to some risks to the broader growth and inflation outlook."

its second-highest in over three-and-a-half years (surpassed only by May 2026). Firms continued to cite increased energy, fuel and wage expenses as the primary drivers of elevated inflation. Tariffs were also mentioned as a source of upward cost pressure.

Faced with higher operating expenses, firms sought to protect their margins as much as possible by raising their own selling prices. Inflation was again historically marked and rose to a level only fractionally below May's recent high.

Finally, sentiment regarding the 12-month outlook remained positive overall in July but nonetheless fell since June and was the lowest recorded by the survey in over a year. Whilst some companies are hopeful of an improvement in the business climate, others are worried about a continuation of a volatile geopolitical environment and the broader macroeconomic uncertainty that has weighed heavily on business and sector performance in recent months.

S&P Global Canada Composite PMI®

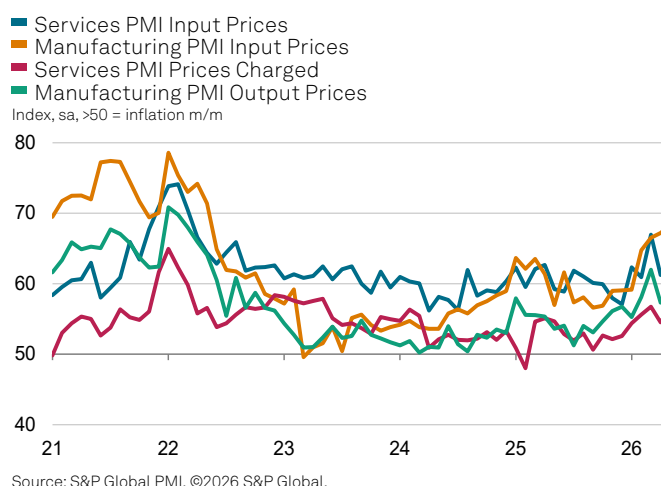
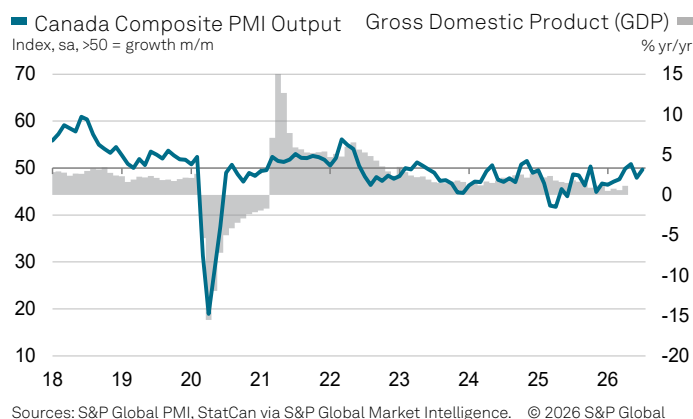
The S&P Global Canada Composite PMI® moved closer to the 50.0 no-change mark in July, recording 49.7.

That was up from 47.9 in June and signalled only a fractional fall in private sector economic output.

There was again a divergence in performance by sector during July, with output in manufacturing rising but a further contraction in services activity recorded. Similar trends were seen for new business.

Employment growth was recorded across the private sector economy, but business activity expectations weakened and were the lowest since June 2025.

On the price front, both input costs and output charges rose at steeper rates.



Contact

Paul Smith
Economics Director
S&P Global Market Intelligence
T: +44-1491-461-038
paul.smith2@spglobal.com

Florence Bogitsh
Senior Communications
Manager, Americas
S&P Global Market Intelligence
T: +1-646-460-7204
florence.bogitsh@spglobal.com
press.mi@spglobal.com

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Methodology

The S&P Global Canada Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 400 service sector companies.

The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in December 2017.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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PMI®

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